3-Stage Loyalty Framework
Implementation Template

Free Template · joy.so

Joy.

How to use this template: Fill in the blanks for each stage before configuring your loyalty platform. The framework is derived from Domino's 2023 relaunch. Each stage builds on the previous one. Don't skip to Stage 2 before Stage 1 is solid.

1 Retention Before Rewards

Foundation

MEDIAN TIME BETWEEN PURCHASES
e.g., 45 days

Must be under 90 days for loyalty to compound

CURRENT REPEAT PURCHASE RATE (%)
e.g., 22%

Baseline before any loyalty program runs

POST-PURCHASE EMAILS LIVE? (LIST THEM)
e.g., Thank You (day 0), How-to-use (day 2), Reorder reminder (day 30)

KNOWN FRICTION POINTS IN THE FIRST PURCHASE EXPERIENCE
e.g., No shipping updates, slow support response on FAQs

Fix these before launching loyalty. They'll kill your retention regardless of points.

2 Simple Incentives Tied to Behavior

Program Design

EARN FLOOR (MIN. QUALIFYING ORDER VALUE)
e.g., $15

Set at or below your average first-order value

POINTS PER $1 SPENT
e.g., 10 pts per $1

FORWARD-COMMITMENT OFFER (YOUR "EMERGENCY PIZZA")
e.g., "Earn a $10 Return Credit after your first order, valid 30 days only"

Must expire. A reward with no deadline is just a discount.

BEHAVIORAL TRIGGER #1 (SPECIFIC ACTION, NOT ANY SPEND)
e.g., 2x points on second purchase within 30 days

BEHAVIORAL TRIGGER #2 (CROSS-CATEGORY OR REVIEW)
e.g., 50 bonus points for first purchase in new category

3 Emotional Loyalty: Status & Identity

Long-term CLV

TIER NAMES (3 TIERS RECOMMENDED)
e.g., Member / Gold / Elite

Names should feel like identity labels, not just rank numbers

TIER 2 THRESHOLD (POINTS OR SPEND)
e.g., 500 pts or $150 total spend

TIER 3 THRESHOLD
e.g., 1,500 pts or $400 total spend

TIER 2 EXCLUSIVE BENEFIT (NOT A DISCOUNT, BUT AN EXPERIENCE)
e.g., Free shipping for life / Early access to new drops

TIER 3 EXCLUSIVE BENEFIT
e.g., Private VIP group access / Quarterly gifts / Direct brand contact

IDENTITY SIGNAL FOR TOP-TIER MEMBERS (HOW THEY SHOW STATUS)
e.g., "Elite" badge on profile / Custom packaging / Personalized thank-you note

Bond Brand Loyalty: 79% more likely to continue with a brand when rewards feel "exclusive"

MEASUREMENT SETUP

The 4 Metrics You Must Track

IRPR BASELINE (MEMBERS VS. CONTROL GROUP, MONTH 1)
Record before launching: ___% repeat rate (members) vs. ___% (control)

MONTHLY REWARDS COST ($)
$_____

YOUR CURRENT PAID CAC ($)
$_____

CPRC TARGET: MUST STAY BELOW CAC
Target CPRC: $_____ (should be well under $_____)

REDEMPTION RATE TARGET (%)
Target: 15–25%

Below 10% = adjust thresholds. Above 40% = margin risk.

ASSISTED ORDERS TRACKING METHOD
e.g., Joy dashboard / UTM tags / discount code attribution

8x Example loyalty ROI: $500/month in rewards driving $4,000 in incremental repeat revenue. If your paid ads return 3–4x ROAS, loyalty wins on cost-per-revenue-dollar.

QUICK REFERENCE

Key benchmarks to keep handy

METRIC	TARGET RANGE	WHAT TO DO IF OFF-TARGET
Redemption rate	15–25% of active members	<10%: lower threshold or improve rewards. >40%: tighten earn rules.
IRPR lift	Meaningful gap vs. control	No gap after 60 days: rewards are subsidizing existing demand. Restructure triggers.
CPRC vs. CAC	CPRC well below paid CAC	If CPRC approaches CAC: cut reward generosity or improve earn-to-redeem ratio.
Median purchase cycle	Under 90 days	Over 90 days: shift budget from points to referral program instead.
Earn floor	At or below avg. first-order value	Too high: first reward feels unreachable. Lower in 20% increments and re-test.
Forward-commitment expiry	30–45 days	Too long: urgency collapses. Too short (<14 days): customers miss the window.

Ready to configure this in Joy Loyalty?

Set earn floors, behavioral triggers, and tier benefits in one platform. No developer needed. 30,000+ Shopify brands use Joy to run these exact programs.

joy.so/demo →

The Domino's lesson in one sentence: They didn't add budget. They lowered one number ($10 to $5), created one time-limited offer (Emergency Pizza), and matched their rewards to how often people actually order. Copy the logic, not the pizza.